TEXORA · LECTURE SHEET

# Fundamentals of Management

*What management is, why every spinning mill, dye house and garment factory lives or dies by it, and the functions, levels, skills and principles that turn fibre, machines and people into finished orders shipped on time.*

TE-3109 · SUPPLY CHAIN MANAGEMENT IN TEXTILES · TOPIC 1 · LEVEL 3 TERM 1

## 1. What management means

**Management** is the process of getting work done effectively and efficiently through and with other people, by planning, organising, leading and controlling the resources of an organisation so that its goals are achieved. Two words in that sentence carry the whole subject. **Effectiveness** means doing the right things — choosing goals that matter, such as delivering a buyer's order to the correct quality, quantity and date. **Efficiency** means doing things right — achieving that goal with the least waste of material, machine time, labour and money. A garment factory that sews 10,000 perfect shirts nobody ordered is efficient but not effective. A factory that ships the right shirts but wastes 15 % of its fabric in cutting has been effective but not efficient. Good management is both at once.

Classic definitions sharpen the idea from different sides. **Henri Fayol (1916)** defined management as forecasting and planning, organising, commanding, coordinating and controlling. **Frederick W. Taylor**, the father of scientific management, saw it as knowing exactly what you want people to do and seeing that they do it in the best and cheapest way. **Peter Drucker** called management a multi-purpose organ that manages a business, manages managers, and manages workers and work. **Harold Koontz** described it as the art of getting things done through and with people in formally organised groups. Together the definitions agree on four points: management is a *process* (a sequence of linked activities, not a single act), it works *through people*, it is *goal-directed*, and it must balance *limited resources* against competing demands.

In a textile setting the resources are easy to list and hard to balance: raw fibre, yarn and chemicals; looms, knitting machines and sewing lines, each with a finite capacity per hour; workers with different skills; working capital tied up in stock; and time — above all the buyer's delivery date, which cannot be negotiated after the order is confirmed. The production manager of a knitwear factory who must choose between running a second shift, subcontracting part of an order, or asking for a one-week extension is doing management in its purest form: allocating scarce resources among competing uses under uncertainty.

## 2. Characteristics and nature of management

- **Goal-oriented.** Management exists only in relation to objectives. A dyeing unit's goal of right-first-time dyeing above 90 % gives every daily decision its direction.
- **Pervasive.** It is needed at every level and in every department — spinning, weaving, wet processing, garments, merchandising, finance and human resources alike — and in a two-person buying liaison office as much as in a 5,000-worker factory.
- **Continuous.** Planning, monitoring and correcting never stop; yesterday's production plan is already history when today's absenteeism and machine breakdowns arrive.
- **Group activity and multidisciplinary.** Management draws on economics, psychology, mathematics, statistics, sociology and engineering. A merchandiser pricing an order uses costing (economics), negotiation (psychology) and capacity arithmetic (mathematics) in a single morning.
- **Intangible but visible in results.** You cannot see management; you see its effects — low wastage, calm floors, orders shipped on time — or its absence: chaos, overtime, air-freighted shipments paid for by the factory.

**Is management a science or an art?** It is both. It has a systematised body of knowledge with cause-and-effect principles (science): for example, widening a supervisor's span of control beyond what the work allows predictably weakens supervision. Yet applying those principles always depends on judgement, experience and the situation (art): the same incentive scheme that lifts output in one sewing section can cause conflict in another. The modern view adds a third label — management is also a **profession** in the making, with formal education (such as this B.Sc.), specialised bodies of knowledge and ethical codes, although entry is not legally restricted as it is for medicine or law.

## 3. Levels of management

Organisations arrange managers in a hierarchy of three broad levels. The levels differ not in importance but in the *time horizon* and *scope* of their decisions.

| LEVEL | TYPICAL TITLES IN A TEXTILE GROUP | MAIN WORK | DECISION HORIZON |
|---|---|---|---|
| **Top management** | Managing director, directors, CEO, chief operating officer | Set vision, strategy and policy; approve major investment (a new dyeing plant, a denim project); represent the firm to buyers, banks and government | Long term — 3 to 10 years |
| **Middle management** | General manager, head of spinning / weaving / garments, | Translate strategy into departmental plans; coordinate departments; | Medium term — months to 2 |

| | | | |
|---|---|---|---|
| | merchandising manager, HR manager, quality manager | allocate budgets; report performance upward and direct work downward | years |
| **Supervisory (lower) management** | Production officer, shift in-charge, line supervisor, floor in-charge, maintenance foreman | Direct daily work of operators and helpers; maintain quality and discipline on the floor; solve immediate problems (thread break, machine stop, absent operator) | Short term — hours to weeks |

Below the supervisors stand the **operative employees** — machine operators, tailors, helpers, technicians — who carry out the physical work but hold no managerial authority. Notice the shape of the hierarchy: many supervisors, fewer middle managers, very few at the top. As one rises, work becomes less technical and more conceptual: a line supervisor spends most of the day on machines and people, the managing director almost entirely on ideas, figures and relationships.

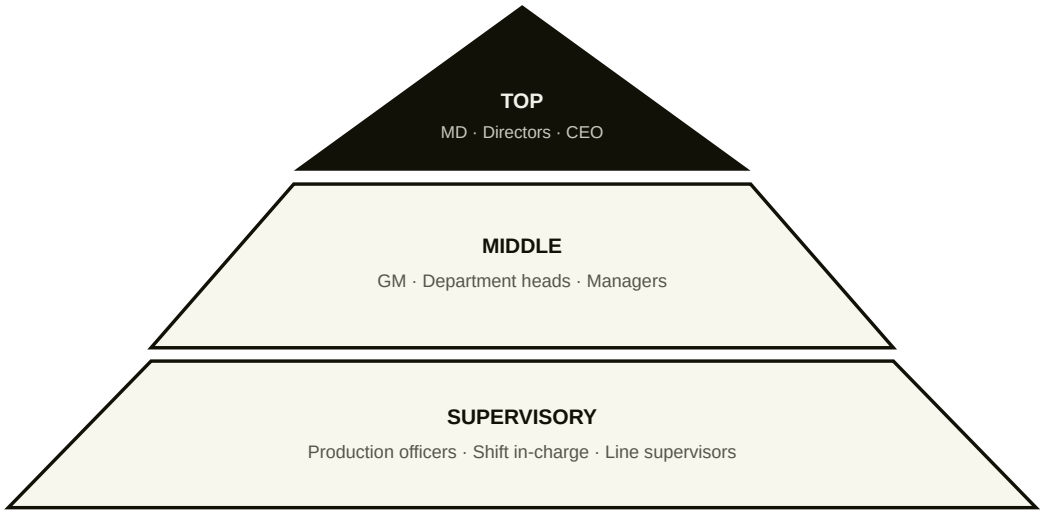



Figure 1 — The three levels of management. Fewer people sit at each higher level, decisions look further ahead, and the work shifts from technical doing to conceptual thinking. Operative workers (operators, tailors, helpers) form the base below the supervisors.

## 4. The functions of management

Whatever the level or department, managers perform four core functions in a repeating cycle. Luther Gulick's extended list, **POSDCORB** (Planning, Organising, Staffing, Directing, Coordinating, Reporting, Budgeting), is still used in public and industrial administration; the modern four-function form below contains the same work in simpler language.

### 4.1 Planning

**Planning** decides in advance what is to be done, how, when and by whom. It bridges the gap between where the organisation is and where it wants to be. Planning includes setting objectives, forecasting (expected orders, yarn prices, exchange rates), developing alternative courses of action, evaluating them and choosing one, and breaking the choice into budgets, schedules and procedures. In a composite mill, planning appears as the annual business plan, the monthly production plan for each department, and the line plan that tells a sewing supervisor exactly which style, in which quantity, runs on which line on which day. Good planning does not remove uncertainty — buyers change quantities, vessels are delayed — but it converts surprise into a problem that has already been thought about.

## 4.2 Organising

**Organising** arranges the work and the people: dividing the total task into jobs, grouping jobs into departments, assigning authority, and providing resources. The result is the organisation structure studied in Topic 2 — who reports to whom, which section owns fabric inspection, where the boundary between merchandising and production lies. Without organising, a plan is only a wish: everyone assumes someone else will book the accessories, approve the shade or release the cutting.

## 4.3 Leading (directing)

**Leading** is guiding and motivating people so that they willingly do what the plan requires. It covers communication, motivation, leadership style and team building. On a factory floor this function is intensely practical: explaining a new operation to operators, settling a dispute between two line chiefs, persuading a team to stay for an extra hour before a shipment — and doing it in a way that preserves trust for tomorrow. Orders can compel attendance; only leadership produces care about quality.

## 4.4 Controlling

**Controlling** measures actual performance against the plan, finds the deviation, and corrects it. The cycle is: set a standard (for example, cutting waste not above 3 %, or line efficiency at least 65 %), measure actual performance, compare, and act — retrain, repair, re-plan or revise the standard itself if it was unrealistic. Control in textiles is everywhere: fabric inspection points, in-line quality audits, daily production reports, variance analysis of yarn consumption against the order's costing. Control closes the loop and feeds the next round of planning.

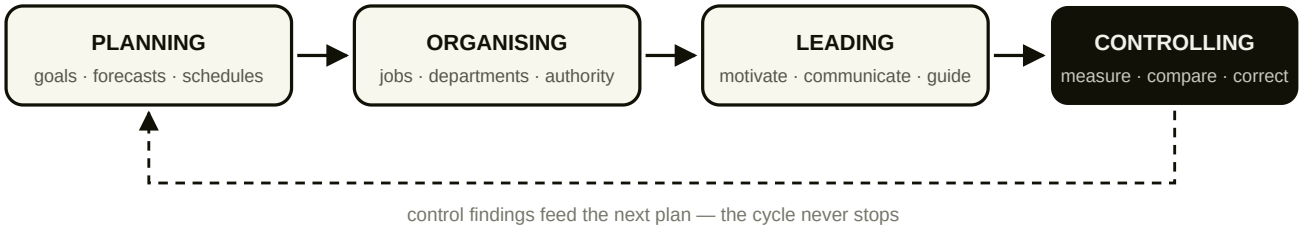



Figure 2 — The management cycle. Planning sets the target, organising builds the means, leading moves the people, and controlling checks the result and restarts the cycle.

## 5. Managerial roles and skills

**Henry Mintzberg** observed real managers and grouped their work into ten roles in three families. **Interpersonal roles:** figurehead (receiving a buyer on a factory visit), leader (building the production team), liaison (maintaining contacts with yarn suppliers and buying houses). **Informational roles:** monitor (scanning production data and market news), disseminator (passing order changes to all sections), spokesperson (reporting the factory's position to a buyer or auditor). **Decisional roles:** entrepreneur (starting a new product line), disturbance handler (resolving a sudden shade rejection), resource allocator (assigning looms between two urgent orders), negotiator (settling price and date with a subcontractor). No manager performs one role at a time; a single difficult morning can demand all ten.

**Robert Katz** identified three skill families, needed in different proportions at different levels. **Technical skill** — mastery of the processes supervised — matters most for supervisors: a dyeing in-charge who cannot judge a lab dip cannot control the dye house. **Human skill** — working with and through people — is essential at every level. **Conceptual skill** — seeing the whole enterprise and how the parts interact — matters most at the top, where a decision about expanding knit dyeing must be weighed against spinning capacity, working capital and the group's order book. Young engineers enter with technical skill and must deliberately build the other two to advance.

## 6. Schools of management thought — a brief map

| SCHOOL | KEY THINKER(S) | CORE IDEA | TEXTILE ECHO |
|---|---|---|---|
| Scientific management | F. W. Taylor | Analyse each job scientifically, set a standard time and output, pay by results, separate planning from doing | Work study, SMV (standard minute value) and line balancing in garments; time study in spinning |

| | | | |
|---|---|---|---|
| Administrative management | Henri Fayol | Management is a set of functions governed by general principles usable in any organisation | The 14 principles below; departmental structure of a mill |
| Human relations | Elton Mayo (Hawthorne studies) | Social factors, attention and group norms affect output at least as much as physical conditions and pay | Welfare, worker committees, supervisor behaviour on sewing lines |
| Systems & contingency | Von Bertalanffy; Fiedler and others | An organisation is an open system of interacting parts; there is no one best way — the right method depends on the situation | A bottleneck in dyeing starves finishing and garments at once; management style fitted to order type and workforce |

**Fayol's 14 principles** remain the most examined list in the subject: (1) division of work, (2) authority and responsibility, (3) discipline, (4) unity of command — one boss per subordinate, (5) unity of direction — one plan and one head for activities with the same objective, (6) subordination of individual interest to the general interest, (7) fair remuneration, (8) centralisation balanced to the situation, (9) scalar chain — the unbroken line of authority, (10) order — a place for everything and everyone, (11) equity — kindness with justice, (12) stability of tenure, (13) initiative, and (14) esprit de corps — pride and unity in the team. Two violations are seen daily in factories: a merchandiser and a production manager both instructing the same line supervisor (broken unity of command), and constant supervisor transfers that destroy stability of tenure and with it accountability for a line's quality.

> **KEY IDEA — MANAGEMENT IN ONE LINE**
>
> Management = deciding what must happen (planning), arranging people and resources so it can happen (organising), making people want it to happen (leading), and checking that it did happen — then correcting (controlling). Every later topic in TE-3109 — structure, HRM, technology and supply chain — is one of these four functions examined in depth.

## Glossary

**Effectiveness** — achieving the intended goal; doing the right things. **Efficiency** — achieving output with minimum input waste; doing things right. **Planning** — deciding future action in advance. **Controlling** — comparing actual performance with standards and correcting deviations. **Span of the managerial task** — see Topic 2 for span of control. **SMV** — standard minute value: the scientifically set time for a garment operation, a direct descendant of Taylor's time study. **Scalar chain** — the unbroken line of authority from top management to the lowest rank. **Esprit de corps** — team spirit and

pride in the organisation. **Operative employees** — workers who perform the physical work without managerial authority.

## Key points

• Management is the goal-directed process of working through people — effectively (right goals) and efficiently (least waste) together.
• It is pervasive, continuous, multidisciplinary and both a science (principles) and an art (situational judgement).
• Three levels — top, middle, supervisory — differ in decision horizon: years, months, days.
• Four functions form an endless cycle: planning → organising → leading → controlling → planning again.
• Mintzberg's roles and Katz's skills (technical, human, conceptual) explain what managers actually do and what they must learn as they rise.
• Fayol's principles — above all unity of command and unity of direction — diagnose most everyday factory confusion.

## Practice

1. A factory ships every order on time but its cutting waste is 9 % against an industry norm of 3 %. Is it effective, efficient, both or neither? Justify your answer, and state which management function should act first.
2. Classify each event by management function: (a) a merchandiser re-books vessel space after a port delay; (b) a GM merges two finishing sections; (c) a supervisor counsels an operator whose quality has slipped; (d) the monthly yarn-consumption variance is investigated.
3. Give one textile example each of a broken unity of command and a broken unity of direction, and state the likely consequence of each.
4. A dyeing shift in-charge is promoted to head of wet processing for the whole group. Using Katz's model, explain which skills he must now use more, which less, and why.
5. Explain, with a factory example, why management is described as both a science and an art.
6. Map any five of Fayol's principles onto a sewing line of 40 operators and show what each principle requires in practice.

### Answer key

1. Effective but not efficient: the right goal (on-time, correct orders) is achieved, but at excessive material cost, which destroys margin. Controlling acts first — measure the waste against the

standard by style and marker to locate the deviation — followed by re-planning of markers, spreading and cutting practice.

2. (a) Planning (revising a future course of action) — with controlling as its trigger. (b) Organising. (c) Leading. (d) Controlling.
3. Unity of command: a line supervisor receives conflicting instructions from both the production manager and a merchandiser about line priority — the supervisor satisfies neither and accountability vanishes. Unity of direction: two managers run separate, uncoordinated plans for the same dyeing capacity — bookings clash, machines idle while urgent lots wait.
4. Conceptual skill rises sharply: he must see wet processing as part of the whole chain (fabric supply, garments demand, effluent capacity, buyer mix) rather than one shift's output. Human skill stays essential but shifts from operators to peer managers. Technical skill does not disappear but is used less hour-by-hour; he judges lab dips through others' reports rather than personally, and must resist solving every technical problem himself.
5. Science: its principles predict outcomes — e.g., an overloaded span of control predictably weakens quality supervision in any mill. Art: applying them needs judgement — the same supervisor who fails with a new, untrained line may excel with an experienced one, so the manager must read people and situations, not just rules.
6. Examples: division of work — operators specialise in single operations (collar attach, sleeve set); authority and responsibility — the line chief may stop the line for quality and answers for the line's audit result; discipline — agreed rules on attendance and machine care applied consistently; order — each machine, bundle and trim has a fixed place; stability of tenure — the line chief is not rotated weekly, so learning and accountability accumulate; esprit de corps — the line works to a shared target and recognises its best performers. Any five, correctly applied, earn full credit.

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